

Shengyi Technology (600183 CH)

Buy: Better mix, more capacity

- ◆ 2Q26 beat on stronger mix and pricing; GPM reached 32.6%
- ◆ CCL share gains and price hikes support further margin expansion; PCB growth fuels by capacity expansion and customer diversification
- ◆ Maintain Buy; raise TP to RMB191.50 (from RMB83.80)

2Q26 beat reinforces our AI materials thesis. Shengyi Technology reported 2Q26 revenue of RMB10.88bn, up 54% y-o-y and 34% q-o-q, and net profit of RMB2.13bn, up 147% y-o-y and 84% q-o-q, ahead of our and consensus expectations. GPM reached 32.6%, driven by a richer high-end CCL/PCB mix and price adjustments. The stock has corrected 17% since July, vs. 24% for the Wind PCB Index. We see its relative resilience reflecting Shengyi's leading position in the global AI-CCL supply chain. We expect the company to remain a key beneficiary of continued AI infrastructure build-out, backed by strong capacity execution and supply chain management. With this report, we also introduce our 2028 estimates.

CCL pricing power and mix upgrade should drive further margin expansion. At the high end, Shengyi continues to gain share, and we estimate it has secured a major share in Nvidia's M8-class materials, supporting a rising high-end revenue mix and ASPs. Capacity is expanding in parallel, with Thailand ramping in 2H26 and further high-end capacity planned thereafter. At the lower end, modified FR-4 and conventional FR-4 remain tight as high-end products crowd out standard capacity. Kingboard has issued multiple price hike notices for FR-4-related products this year, amid rising glass-cloth and copper-foil costs and tight supply. We expect Shengyi to follow the pricing trend and pass higher input costs downstream. We expect both mix upgrade and FR-4 price hikes to drive CCL and preprag GPM higher at 30%/31%/32% in 2026-28e, vs. 24% in 2025.

PCB growth should accelerate further. We increase our 2026-27 PCB revenue estimates by 15%/26%. We expect Shengyi Electronics, a key PCB supplier to AWS, to see a stronger ramp in high-value products, as Trainium3 volumes scale through 2H26 helping to mitigate upstream material cost pressure. Capacity is also coming online: Ji'an Phase I has entered trial production, the Thailand plant is scheduled to follow in 2H26, while the Dongguan HDI project is under construction to further strengthen high-end capacity. The additional capacity should support both shipment growth and customer expansion across overseas and domestic ASIC/GPU platforms.

Maintain Buy; increase TP to RMB191.50 from RMB83.80. We factor in the above aspects, and increase our 2026/27 EPS estimates by 52%/72%, respectively. We estimate a 2026-28 EPS CAGR of 41% (was 2025-27 EPS CAGR of 35%), above the mid-cycle 2016-21 EPS CAGR of 19%. Compared with the mid-cycle average PE multiple of 22x over 2016-21, our target PE is proportionately adjusted to 47.8x (47.8x = 22x*41%/19%, was 41.0x). Based on our 12-month forward EPS estimate of RMB4.01 (was 2026 EPS estimate of RMB2.04), we derive our target price of RMB191.50 (was RMB83.80), implying c34% upside; we maintain our Buy rating. Volume shipment of Vera Rubin in 4Q26 is a potential share price catalyst. See [page 5](#) for **key downside risks**.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equities Electronic Equipment & Instruments

China



MAINTAIN BUY

TARGET PRICE (CNY)

191.50

PREVIOUS TARGET (CNY)

83.80

SHARE PRICE (CNY)

143.21

(as of 14 Aug 2026)

UPSIDE/DOWNSIDE

+33.7%

MARKET DATA

Market cap (CNYm)	347,858	Free float	100%
Market cap (USDm)	51,598	BBG	600183 CH
3m ADTV (USDm)	1,616	RIC	600183.SS

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC QH EPS	1.37	3.10	4.57	6.17
HSBC QH EPS prev	1.45	2.04	2.66	na
Change (%)	-5.6	51.8	71.9	na
Consensus EPS	1.44	2.73	4.21	6.39
PE (x)	104.4	46.2	31.4	23.2
Dividend yield (%)	0.8	1.9	2.8	3.7
EV/EBITDA (x)	66.9	33.2	23.2	17.5
ROE (%)	21.1	43.7	59.9	73.8

52-WEEK PRICE (CNY)



Source: LSEG IBES, HSBC Qianhai Securities estimates

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Financials & valuation: Shengyi Technology

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	28,431	44,989	64,595	84,820
EBITDA	5,182	10,566	15,258	20,321
Depreciation & amortisation	-913	-1,046	-1,139	-1,238
Operating profit/EBIT	4,269	9,521	14,119	19,083
Net interest	-97	-100	-135	-166
PBT	4,416	9,686	14,293	19,271
HSBC Qianhai PBT	4,416	9,686	14,293	19,271
Taxation	-524	-1,150	-1,697	-2,289
Net profit	3,334	7,536	11,095	14,982
HSBC Qianhai net profit	3,334	7,536	11,095	14,982
Cash flow summary (CNYm)				
Cash flow from operations	5,182	10,566	15,258	20,321
Capex	-2,376	-2,376	-2,376	-2,376
Cash flow from investment	-2,376	-2,376	-2,376	-2,376
Dividends	-2,878	-6,506	-9,579	-12,934
Change in net debt	366	3,565	3,290	2,336
FCF equity	2,806	8,191	12,883	17,945
Balance sheet summary (CNYm)				
Intangible fixed assets	620	594	570	547
Tangible fixed assets	9,729	11,085	12,345	13,506
Current assets	19,389	24,188	31,082	39,203
Cash & others	1,744	-1,821	-5,111	-7,447
Total assets	32,770	38,763	46,772	55,921
Operating liabilities	10,214	14,178	19,169	24,270
Gross debt	3,646	3,646	3,646	3,646
Net debt	1,902	5,467	8,757	11,093
Shareholders' funds	16,724	17,754	19,270	21,318
Invested capital	17,780	23,511	29,939	36,433

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	39.4	58.2	43.6	31.3
EBITDA	88.6	103.9	44.4	33.2
Operating profit	126.5	123.0	48.3	35.2
PBT	113.6	119.3	47.6	34.8
HSBC Qianhai EPS	91.8	126.0	47.2	35.0
Ratios (%)				
Revenue/IC (x)	1.7	2.2	2.4	2.6
ROIC	22.2	40.7	46.6	50.7
ROE	21.1	43.7	59.9	73.8
ROA	12.9	23.9	29.5	33.1
EBITDA margin	18.2	23.5	23.6	24.0
Operating profit margin	15.0	21.2	21.9	22.5
EBITDA/net interest (x)	53.3	105.6	113.4	122.1
Net debt/equity	10.1	26.1	36.6	39.6
Net debt/EBITDA (x)	0.4	0.5	0.6	0.5
CF from operations/net debt	272.5	193.3	174.2	183.2
Per share data (CNY)				
EPS Rep (diluted)	1.37	3.10	4.57	6.17
HSBC Qianhai EPS (diluted)	1.37	3.10	4.57	6.17
DPS	1.20	2.68	3.94	5.32
Book value	6.88	7.31	7.93	8.78

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	12.2	7.8	5.5	4.2
EV/EBITDA	66.9	33.2	23.2	17.5
EV/IC	19.5	14.9	11.8	9.8
PE*	104.4	46.2	31.4	23.2
PB	20.8	19.6	18.1	16.3
FCF yield (%)	0.8	2.4	3.7	5.2
Dividend yield (%)	0.8	1.9	2.8	3.7

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	55.7	No. of board members	12
Energy intensity*	148.5	Average board tenure (years)	5.3
CO ₂ reduction policy	Yes	Female board members (%)	25
Social Indicators		Board members independence (%)	41.7
Employee costs as % of revenues	10.1		
Employee turnover (%)	19.4		
Diversity policy	Yes		

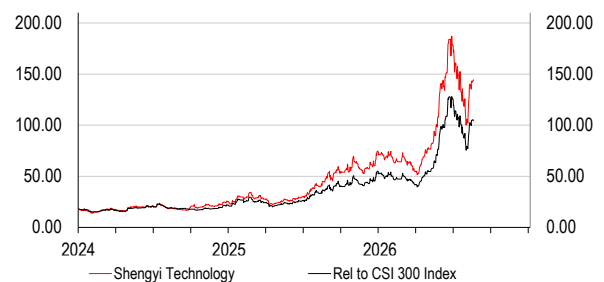
Source: Company data, HSBC Qianhai Securities

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

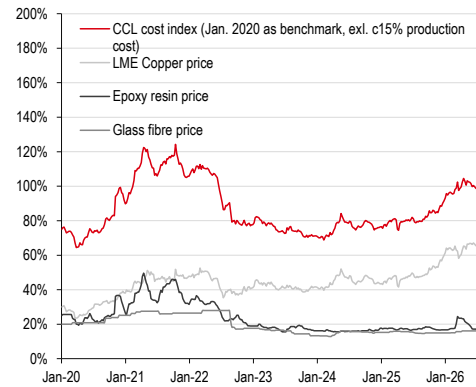
Share price (CNY)	143.21	Free float	100%
Target price (CNY)	191.50	Sector	Electronic Equipment
RIC (Equity)	600183.SS	Country/Region	China
Bloomberg (Equity)	600183.CH	Analyst	Cara Su
Market cap (USDm)	51,598	Contact	+86 21 50662080

Price relative

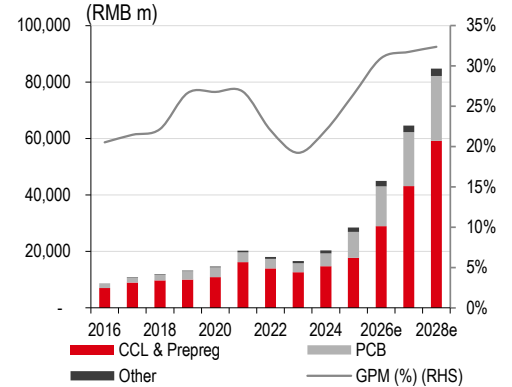


Source: HSBC Qianhai Securities

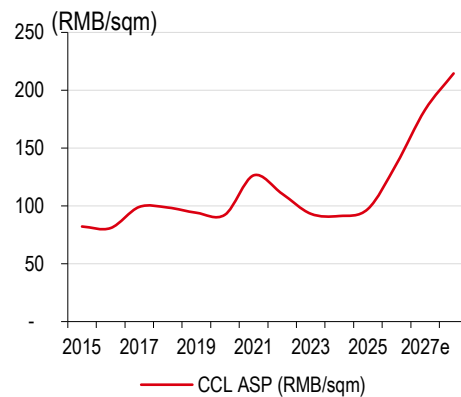
Note: Priced at close of 14 Aug 2026

Exhibit 1. CCL cost index


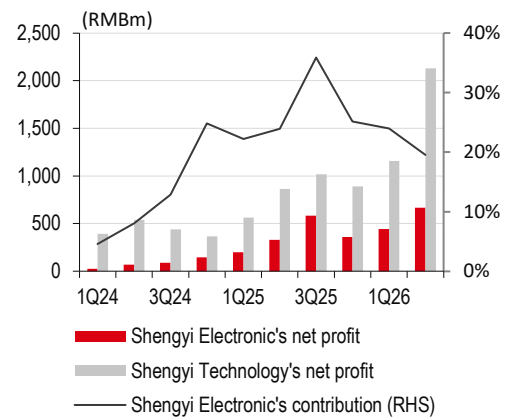
Source: Wind, HSBC Qianhai Securities

Exhibit 2. Shengyi's revenue and GPM trends


Source: Company data, Wind, HSBC Qianhai Securities estimates

Exhibit 3. Shengyi's CCL ASP trend


Source: Company data, HSBC Qianhai Securities estimates

Exhibit 4. Shengyi Tech and Shengyi Electronics net profit trends


Source: Company data, HSBC Qianhai Securities

Earnings estimate revisions

Exhibit 5. Earnings revisions

RMBm	2025a			2026e			2027e			2028e
	Est.	Actual	Diff.	Old	New	Diff.	Old	New	Diff.	New
Revenue										
CCL & Prepreg	18,246	17,774	-3%	22,130	28,960	31%	25,850	43,153	67%	59,140
PCB	9,282	9,144	-1%	12,275	14,059	15%	15,123	19,078	26%	23,037
Others	887	855	-4%	976	984	1%	1,074	1,082	1%	1,169
Total revenue	28,940	28,431	-2%	35,985	44,989	25%	42,710	64,595	51%	84,820
Gross profit margin										
CCL & Prepreg	24.8%	23.9%	-0.9 ppt	25.8%	30.0%	4.2 ppt	26.6%	31.0%	4.4 ppt	32.0%
PCB	30.0%	28.6%	-1.4 ppt	31.0%	31.5%	0.5 ppt	32.0%	32.0%	0.0 ppt	32.0%
Others	11.3%	14.9%	3.6 ppt	11.3%	19.5%	8.2 ppt	11.3%	19.5%	8.2 ppt	19.5%
Blended GM	27.3%	26.5%	-0.8 ppt	28.3%	31.0%	2.7 ppt	29.1%	31.7%	2.6 ppt	32.4%
Gross profit										
CCL & Prepreg	4,525	4,250	-6%	5,710	8,688	52%	6,876	13,377	95%	18,925
PCB	2,784	2,616	-6%	3,805	4,429	16%	4,839	6,105	26%	7,372
Others	100	128	27%	110	192	74%	121	211	74%	228
Total gross profit	7,894	7,526	-5%	10,182	13,930	37%	12,449	20,501	65%	27,453
Operating expense										
Business tax	174	151	-13%	217	240	11%	257	344	34%	452
Sales expenses	550	537	-2%	648	720	11%	726	1,034	42%	1,357
Administrative expenses	1,158	1,088	-6%	1,295	1,395	8%	1,495	2,002	34%	2,629
R&D	1,447	1,450	0%	1,727	2,025	17%	1,965	2,971	51%	3,902
Asset and credit impairment loss	150	31	-80%	150	31	-80%	150	31	-80%	31
Total operating expense	3,479	3,257	-6%	4,037	4,409	9%	4,593	6,382	39%	8,371
EBIT	4,415	4,269	-3%	6,145	9,521	55%	7,857	14,119	80%	19,083
Net income	3,532	3,334	-6%	4,965	7,536	52%	6,454	11,095	72%	14,982
EPS (ordinary shares) (RMB)	1.45	1.37	-6%	2.04	3.10	52%	2.66	4.57	72%	6.17

Source: Company data, HSBC Qianhai Securities estimates

We increase our net profit estimates by 52%/72% in 2026-27e, mainly because:

- ◆ We raise our revenue estimates by 25%/51% for 2026-27e as: 1) we raise our CCL and prepreg revenue estimates by 31%/67% in 2026-27e as we believe the price rise in FR-4 CCL will extend into 2H26 given current supply tightness and raw material price increase. Additionally, we believe Shengyi Technology will benefit from a more favourable CCL product mix driven by the rising demand from AI server markets. 2) We increase our PCB revenue estimates by 15%/26% in 2026-27e, respectively, owing to the increasing demand for high-density and high-layer PCB from AI servers under the continuous CSP capex.
- ◆ We increase our 2026-27e blended GPM estimate by 2.7ppt/2.6ppt because we raise our 2026-27e GPM estimates for CCL and prepreg by 4.2ppt/4.4ppt as we believe: 1) Shengyi will benefit from an improving product mix, and 2) Shengyi will be able to pass on the raw material price rise to downstream customers, which will help drive up GPM.
- ◆ We increase our 2026-27e total operating expenses by 9%/39% to factor in the higher R&D and selling expenses associated with the larger business scale.

With this report, we introduce our 2028 revenue estimates of RMB84,820m and net profit estimates of RMB14,982m.

Where do we differ from consensus?

Our 2026-28e net profit estimates are 25%/26%/28% above consensus, respectively, as we are more optimistic about the CCL business outlook given: 1) the favourable supply-demand dynamics, especially in mid- and low-end CCL and 2) the market share expansions in high-end CCL. Since July, the stock has corrected 17% vs. 24% for the Wind PCB Index. We believe the relative resilience is backed up by its stronger order outlook and pricing power compared to its peers. We believe the market consensus will gradually revise up later.

Exhibit 6. Our estimate comparison vs consensus

RMBm	HSBC Qianhai estimates			Consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	44,989	64,595	84,820	40,888	55,117	68,946	10%	17%	23%
Net profit	7,536	11,095	14,982	6,033	8,801	11,662	25%	26%	28%

Source: Wind, HSBC Qianhai Securities estimates

Sensitivity analysis on earnings

We conduct a sensitivity analysis on Shengyi's 2027e net profit to its CCL gross margin and ASP as the segment typically contributes c60% to total revenue. Our analysis shows that if its CCL gross margin is 5ppt higher and the ASP is 5% higher than our current assumptions, its 2027e net profit would be 21% above our estimate.

Exhibit 7. 2027e net profit sensitivity to CCL segment gross margin and ASP

		CCL segment GPM change				
		-5.0ppt	-2.5ppt	0ppt	+2.5ppt	+5.0ppt
CCL ASP change	-5.0%	-20%	-12%	-3%	5%	13%
	-2.5%	-18%	-10%	-2%	7%	15%
	0%	-17%	-9%	0%	9%	17%
	+2.5%	-16%	-7%	2%	10%	19%
	+5.0%	-15%	-6%	3%	12%	21%

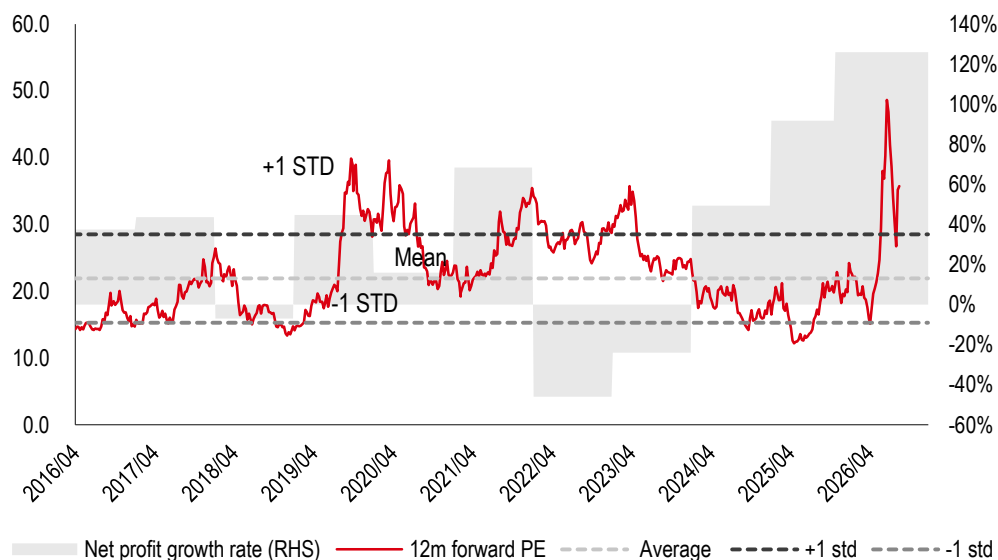
Source: HSBC Qianhai Securities estimates

Valuation and risks

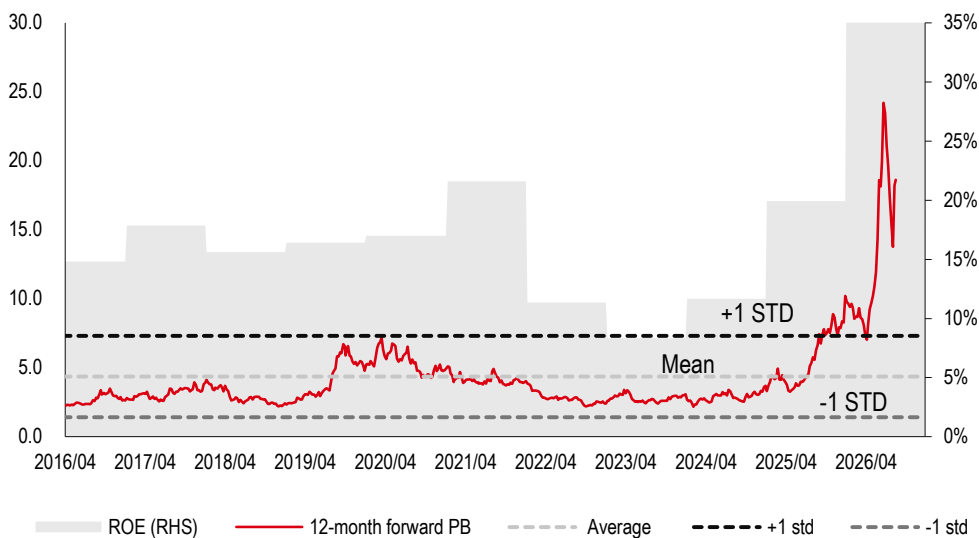
We continue to value the stock using a PE multiple. We estimate a 2026-28 EPS CAGR of 41% (was 2025-27 EPS CAGR of 35%), above the mid-cycle 2016-21 EPS CAGR of 19%. We keep using 2016-21 as our reference period since it is the previous PCB upcycle, as we believe Shengyi's near-term operation situation will be similar. Compared with the mid-cycle average PE multiple of 22x over 2016-21, our target PE is proportionately adjusted to 47.8x (47.8x = 22x*41%/19%, was 41.0x). Based on our 12-month forward EPS estimate of RMB4.01 (previously 2026 EPS estimate of RMB2.04), we derive our target price of RMB191.50 (previously RMB83.80), implying c34% upside; we maintain our Buy rating. Volume shipment of Vera Rubin in 4Q26 is a potential share price catalyst.

Downside risks:

- ◆ **Slower-than-expected PCB business growth.** We expect Shengyi's PCB business to be a key growth driver in the coming years, mainly driven by robust demand from AI servers. If Shengyi's PCB shipment growth and market share gains are slower than we expected, our estimates would be negatively affected.
- ◆ **Inability to cope with material cost changes.** Raw materials account for a large portion of overall production costs. Shengyi needs to monitor raw material prices closely to ensure it manages its inventory well. If the company fails to do so, this would have a negative impact on its profitability.
- ◆ **Intense competition in the industry.** The business segment in which Shengyi operates is extremely competitive. If Shengyi fails to compete well against its current competitors or new entrants, its operations, financial condition, and future growth prospects may be materially affected.

Exhibit 8. 12-month forward PE (x) and net profit growth trend


Source: Wind, Company data, HSBC Qianhai Securities estimates

Exhibit 9. 12-month forward PB (x) and ROE trend


Source: Wind, Company data, HSBC Qianhai Securities estimates

Exhibit 10. China PCB comparables

Ticker	Company	Rating	Target Price (LC)	Currency	Price	Market Cap USDm	DAV USDm	PE (x) 2026e	PE (x) 2027e	PB (x) 2026e	EPS growth 2026e	EPS growth 2027e	EPS CAGR 2026-28e	PEG 2026e	ROE (%) 2026e
600183 CH	SHENGYI TECH	Buy	191.50	CNY	143.21	51,598	1,616	46.2	31.4	19.6	126%	47%	41%	1.1	43.7
002916 CH	SHENNAN	Buy	355.00	CNY	378.00	38,192	718	49.7	35.1	12.2	55%	41%	38%	1.3	27.4
002436 CH	FASTPRINT	NR	NA	CNY	34.82	8,779	810	127.6	76.3	10.7	241%	67%	62%	2.1	7.8
002938 CH	Avary	NR	NA	CNY	95.36	32,781	612	41.2	28.3	5.9	44%	45%	40%	1.0	14.5
688183 CH	SYE	NR	NA	CNY	115.99	14,411	460	36.4	24.3	12.1	77%	50%	43%	0.8	40.3
300476 CH	VGT	NR	NA	CNY	269.33	38,244	2,125	28.8	17.1	9.9	87%	69%	57%	0.5	38.0
603228 CH	Kinwong	NR	NA	CNY	98.01	14,555	514	49.0	33.1	6.7	54%	48%	42%	1.2	13.9
Average								54.1	35.1	11.0	98%	52%	46%	1.1	26.5

Note: Priced at close of 14 August 2026. NA – Not Applicable. NR – Not Rated.
Note: Company data, Wind, HSBC Qianhai Securities estimates (for rated stocks).

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Cara Su

Important disclosures

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HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

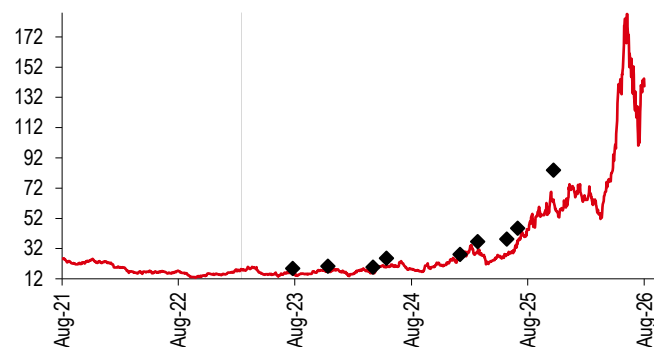
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As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities
Shengyi Technology (600183.SS) share price performance CNY Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	03 Mar 2023	Frank He
Target price	Value	Date	Analyst
Price 1	18.80	11 Aug 2023	Frank He
Price 2	20.40	29 Nov 2023	Frank He
Price 3	19.80	19 Apr 2024	Frank He
Price 4	25.70	31 May 2024	Frank He
Price 5	28.20	17 Jan 2025	Frank He
Price 6	36.70	13 Mar 2025	Frank He
Price 7	38.20	12 Jun 2025	Frank He
Price 8	45.50	17 Jul 2025	Frank He
Price 9	83.80	06 Nov 2025	Frank He

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
SHENGYI TECHNOLOGY	600183.SS	139.41	18 Aug 2026	7

Source: HSBC

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